Blanquerna–Ramon Llull University, School of Communication and International Relations

Official Master's Degree in Advanced Studies in International Affairs (2025-26)

Subject : 75881-Geopolitics of the Contemporary World and Global Governance (8ECTS)

Name of the course: Asia Pacific

Title of the paper : 21st Century ASEAN. A turning point in global Regional relations : Challenges and Opportunities.

Name of the Author : TRISTAN VEZIO

Name of the Professor who will grade it : Amadeo-Koichi Jensana Tanehashi

Date : Sunday March 1st.

Word count : 2537

I hereby declare that this assignment was written by me, in my own words, except for texts either quoted directly or paraphrased, which are clearly indicated and acknowledged as such. I also declare that this assignment was written without the use of any Artificial Intelligence (AI) software like ChatGPT, Deepl, Grammarly and similar to them. Full bibliographic details are given in the reference list, which also contains any internet sources including the URL and access date. This work has not been submitted to any other examination authority at Blanquerna School of Communication and International Relations or elsewhere. I am aware that the incorporation of material from other works or the paraphrasing of such material without acknowledgements, as well as the use of AI software for the writing of this project, will be treated by the Faculty as academic fraud-plagiarism. I accept the academic and legal consequences that the violation of this plagiarism declaration may entail.

How to transform a region fragmented by post-colonial tensions and the communist threat into an area of peace and cooperation? This was the audacious challenge launched in 1967 by five foreign ministers, laying the foundations of ASEAN. After decades of colonisation, of post-independence conflict, and tensions linked with the Cold-War Era, a new political Era is to begin. As the *Journal of Contemporary Asia* (2023) points out, ASEAN was born from a "*founding paradox*": uniting states with divergent political regimes and sometimes conflicting interests, while preserving their absolute sovereignty. This model, based on the principles of non-interference and consensus, has allowed the region to become a major economic hub, attracting global investment and withstanding successive financial crises. ASEAN emerged from an *"initial paradox"*: bringing together nations with heterogeneous political systems and sometimes opposing interests, while guaranteeing their full sovereignty. This model, based on the principle of non-intervention and mutual agreement, has allowed the region to transform itself into a significant economic player, attracting international investment and demonstrating resilience in the face of repeated financial crises. However, at the rise of the 21st century, ASEAN is confronted with a geopolitical shift without precedent. Tension, in the South China sea, territorial claims, and the fierce response of ASEAN member states, such as Vietnam, China, are elements that illustrate the cleft of the organisation. In a context of growing global tensions, between China and the United States, climate emergencies, and persistent socio-economic inequalities, ASEAN's role in regional and international dynamics is being questioned more than ever. To determine whether ASEAN's trajectory is one of failure or adjustment, it is essential to analyze the theoretical assumptions associated with regional integration. What is the relation, in this geopolitical space, between national sovereignty and supranational cooperation. And more importantly, to what extent is ASEAN able to convert its weaknesses — such as territorial disputes — into opportunities to strengthen its importance in a multipolar world?

To assess whether ASEAN's trajectory represents failure or adaptation, it is necessary to examine the theoretical expectations surrounding regional integration.

I. Theoretical Foundation of ASEAN

A. Neofunctionalism and the Limits of Spillover:

The question of regional integration has long been analyzed by IR Theory, through Neofunctionalism, as theorized by Schmitter (1970). Following its framework, integration develops in a functional and gradual way. Collaboration in a specific area, especially in economic or technical realms, creates demands for the expansion of partnerships into additional fields, particularly political and institutional domains. This principle, referred to as 'spillover', suggests that achievements in the economic sphere should inherently encourage political unification and the establishment of transnational entities. In principle, a considerable rise in trade and financial transactions is expected to result in the alignment of policies and the enhancement of institutional structures, as demonstrated by the case of the European Union.

Nevertheless, the experiences observed within ASEAN showcase the boundaries of this reasoning. As mentioned by Cyn-Young Park in 2024, the process of economic integration

among ASEAN nations has notably accelerated: trade within the region has expanded, financial transactions have increased substantially, and productive collaborations have advanced. The ASEAN Integration Report 2025 substantiates these patterns, emphasizing significant commerce among ASEAN members, even in the face of ongoing non-tariff impediments. However, in contrast to the expectations of neofunctionalism, this economic vitality has not resulted in greater political integration. There is an absence of a unified governance initiative within ASEAN, and its institutional frameworks are still limited: the principles of consensus, non-interference, a relatively ineffective secretariat, and the diversity of political and economic systems all limit the organization's capacity to implement binding resolutions. This observation calls into question the belief that considerable economic interdependence inevitably fosters political advancement.

B. Existe-t-il dès lors une "Asian Way" as a institutional design?

The discussion regarding the existence of an "Asian Way" in institutional design is central to the analysis of ASEAN's identity as a regional entity. In contrast to the European Union, which has advanced its integration through supranational authority, majority voting, and established legal institutions, the Association of Southeast Asian Nations (ASEAN) has crafted a distinctly different institutional framework. This differentiation presents a crucial inquiry: does ASEAN signify a flawed or inadequate form of integration, or does it represent a thoughtfully unique approach ?

The institutional setup of ASEAN is often characterized by the principles encapsulated in the term "ASEAN Way": consensus-based decision-making, unwavering commitment to non-interference in internal matters, a casual approach to diplomacy, and a relatively subdued secretariat with limited powers. Additionally, the member countries of ASEAN exhibit significant diversity across political systems, stages of economic progress, and strategic priorities. From a neofunctionalist viewpoint, these characteristics can be seen as structural barriers to achieving deeper integration. In the absence of obligatory enforcement mechanisms or assigned authority, the likelihood of progressing towards political integration appears slim. Shaun Narine articulates this criticism in his works, *Explaining ASEAN* (2002) and *The New ASEAN in Asia Pacific and Beyond* (2018). He posits that the weaknesses within ASEAN's institutions are indicative of governments sensitive to sovereignty and concerned about regime stability, rather than suggesting a well-defined alternative institutional framework. He maintains that consensus-based rules tend to yield minimal common ground solutions, and the principle of non-interference hampers ASEAN's ability to tackle internal conflicts or address democratic declines among its member states. Viewed from this angle, the "ASEAN Way" restricts institutional evolution and jeopardizes the organization's operational efficacy.

Nonetheless, Alice D. Ba (2009) offers a more nuanced perspective, arguing that the ASEAN Way should not be viewed merely as a sign of institutional weakness. She suggests that limited delegation and an informal approach serve as adaptive strategies aimed at maintaining

unity in a politically varied region. Consensus safeguards smaller nations against control, while the non-interference principle alleviates concerns regarding regime instability. Thus, ASEAN's institutional framework should be seen not as lacking structure, but as a deliberate decision that prioritizes adaptability over supranational governance. What might be perceived as fragility from a European standpoint can instead be interpreted as a tactical response to regional realities.

C. It is therefore a Flexible Regionalism model of integration, rather than the model that the European project model might represent.

If the features of ASEAN's institutions are intentional, then the organization shouldn't be judged by European standards of overarching integration. Instead, it shows a kind of adaptable regionalism, where economic collaboration progresses without a deep political commitment. According to Menon in *The Political Economy of ASEAN's Integration* (2025), the driving force behind ASEAN's integration has largely been market-oriented rather than institution-based. Economic integration has been driven by regional production networks, private sector efforts, and global value chains without relying on robust supranational governance. The ASEAN Integration Report 2025 further highlights the ongoing presence of differing national priorities and development gaps, showing that integration happens in an uneven and practical manner. Rather than moving towards a unified political goal, ASEAN functions through flexible negotiations. This supports the idea that ASEAN does not symbolize a failure like European-style integration but represents a unique model influenced by concerns of sovereignty and practical economics. In the wider geopolitical context, this adaptability serves as a strategic advantage. The transition from an "Asia-Pacific" focus to the rise of the Indo-Pacific has heightened competition among major powers. In this changing environment, ASEAN aims to maintain its importance without sacrificing its fundamental values. Research from the Asian Development Bank Institute (Correia, Akbarm Attansukh, 2024) stresses the importance of multifaceted integration, merging economic progress with social equality and sustainability. Likewise, Qiao-Franco, Karmazin, and Kolmaš (2025) outline a "next phase of ASEAN centrality," where the organization must evolve institutionally while keeping strategic independence. Thus, the implications for ASEAN are considerable. Its future relies not on imitating the European Union's supranational model but on utilizing its flexibility to deal with development differences, institutional challenges, and great-power competition. Focusing on digital integration, sustainable growth, and maintaining a diplomatic role within the Indo-Pacific framework could open paths to turning structural issues into prospects. In this context, ASEAN aligns more with a flexible, post-European regionalism model than with the traditional framework of supranational integration. Its minimal institutional approach does not necessarily indicate failure but rather reflects geopolitical and political adjustments (Hettne, 1999)

II. Opportunities for the Future of ASEAN Integration

Although ASEAN's integration approach is frequently defined by its institutional adaptability and minimal transfer of authority to supranational bodies, this should not be

interpreted as a lack of progress. In fact, the changing dynamics of both regional and global landscapes offer notable chances for enhanced integration—especially in the spheres of economy, technology, and geopolitical strategy. The trajectory of ASEAN integration is expected to hinge not on centralizing institutions but rather on effectively utilizing trade, embracing technological advancements, and engaging in strategic positioning amid the growing polarization of the Indo-Pacific region.

A. Trade Deepening and Economic Resilience

ASEAN's integration approach is frequently defined by its institutional flexibility and minimal supranational delegation. However, this should not be mistaken for a lack of progress. In fact, the shifting landscape both regionally and globally offers considerable prospects for enhanced integration, especially across economic, digital, and geopolitical spheres. The trajectory of ASEAN integration will likely hinge not on centralization of institutions, but on its capacity to utilize trade, technological advancements, and strategic maneuvers within a growingly polarized Indo-Pacific context. Economic integration continues to be the most vigorous and robust aspect of ASEAN collaboration. Notably, this progression does not rely on a supranational governing body. ASEAN exemplifies that regional economic integration can advance through collaboration, market dynamics, and intergovernmental treaties instead of political delegations.The ASEAN Integration Report 2025 emphasizes substantial trade growth potential, including the alleviation of non-tariff obstacles, enhanced customs standardization, and improved supply-chain connectivity. Trade within ASEAN is on the rise, and regional production networks are becoming more advanced. These factors bolster the view that Southeast Asia’s integration is fundamentally rooted in economic interdependence, as opposed to a focus on institutional centralization. Similarly, Cyn-Young Park (2024) highlights the unexploited prospects for intensified financial integration, which includes the connectivity of capital markets and macro-financial synchronization. Financial integration holds the promise of boosting regional resilience against external shocks without the need for a supranational fiscal body.Further supporting this market-oriented perspective, Jayant Menon (2025) posits that the driving forces behind ASEAN integration primarily stem from regional production networks and private sector motivations rather than a top-down institutional framework. The fragmentation of production across Southeast Asia, especially in the electronic, automotive, and manufacturing industries, creates inherent incentives for ongoing economic collaboration. The implementation of the Regional Comprehensive Economic Partnership (RCEP) further reinforces ASEAN’s significant economic role. As the planet's largest free trade agreement, RCEP consolidates ASEAN's position at the heart of the Asia-Pacific trading system. Crucially, ASEAN serves as the central hub of this structure, demonstrating that a minimalist institutional framework does not hinder economic leadership. In this context, the political economy plays a pivotal role in driving integration. Economic interdependence fosters the necessity for functional coordination, even in the absence of supranational authority. The ASEAN model indicates that enhanced integration can occur through economic logic and production networks, rather than through a system of institutional federalism.

B. Digital and Inclusive Growth as New Integration Drivers

The integration model established by ASEAN is frequently characterized as a system where the digital economy may lead to a type of sectoral functional spillover. In this model, collaboration in areas such as digital infrastructure, regulatory standards, and innovation ecosystems promotes a larger scale of regional coordination. The ASEAN Digital Masterplan 2025 sets forth ambitious targets concerning digital connectivity, the synchronization of cybersecurity efforts, data governance mechanisms, and the promotion of digital inclusion. Through the alignment of digital standards and the enhancement of broadband infrastructure, ASEAN has the potential to support cross-border e-commerce, financial technology cooperation, and advancements in technology. Furthermore, digital transformation serves as a way to diminish regional disparities. Less developed member nations can utilize digital connectivity to become integrated into regional value chains, enhance the competitiveness of their service sectors, and broaden access to financial resources. In this light, digital integration could aid not only in economic advancement but also in fostering social cohesion.

Research conducted by the Asian Development Bank Institute (Correia et al.,2024) emphasizes the interconnectedness of regional integration, social inclusion, and sustainability. A multidimensional approach to integration—melding economic expansion with environmentally sustainable policies and inclusive development—may enhance ASEAN's internal unity and credibility. Instead of embracing a supranational model, ASEAN might fortify its integration through practical coordination within emerging sectors. Consequently, both digital and sustainable advancement present opportunities for adaptive spillover within ASEAN's adaptable framework. Cooperation across sectors could deepen without fundamentally changing the organization’s foundation based on sovereignty.

C. ASEAN Centrality, Hedging, and Strategic Adaptation

In today's world, where geopolitics plays a central role -particularly the US-China Rivalry-, the ongoing importance of ASEAN relies on its ability to stay at the center of strategic matters. The so-called Indo-Pacific has turned into a stage for increasing conflicts, marked by security issues, maritime disagreements, and the rise of smaller group arrangements that occasionally overlook ASEAN-led initiatives. The recent friction in the South China Sea, and the emergence of growing securitization, in the region, are just one example. Clashing strategic ideas may push ASEAN to the sidelines if it doesn’t promote a united front. Nevertheless, ASEAN’s power comes from its ability to handle diplomacy with adaptability.

Therefore, the concept of ‘Hedging’, as developed by Kuik (2008), provides a new insight. Hedging is a strategy that allows countries to steer clear of strictly aligning with one major world power while building various relationships. ASEAN, as a group, adopts a method of "omni-enmeshment," connecting with several powers at once using shared institutional structures and using the benefit of each alliance. Reports, from the Carnegie Endowment for International Peace, on the Indo-Pacific highlights both the chances and risks of ASEAN's central position amid the competition between the US and China. ASEAN's

ability to bring countries together—via meetings like the East Asia Summit and the ASEAN Regional Forum—continues to be important, yet its power relies on internal harmony. Recent research by Qiao-Franco, Karmazin, and Kolmaš (2025) introduces the idea of a "next step for ASEAN centrality. " They argue that ASEAN should shift from just being an impartial platform to taking on the role of a key agenda-setter within the Indo-Pacific region. Studies from the ISEAS–Yusof Ishak Institute also emphasize the need for diplomatic flexibility to maintain ASEAN's significance. In this regard, ASEAN's adaptable structure could be seen as a strength instead of a limitation. Its capability to create multiple institutional frameworks and collaborate with various partners helps it deal with geopolitical divisions while avoiding strict alliances. Nevertheless, this approach has its downsides: too much vagueness might harm collective trust if member countries choose conflicting paths.

III. Structural and Geopolitical Challenges

Yet the deepening of integration cannot be taken for granted, as internal disparities and external rivalries continue to test the limits of ASEAN's flexible model. The presence of an energetic economy and political restrictions results in a core dilemma: while ASEAN integration progresses, its strengthening is still unclear. Recognizing these limitations is crucial for evaluating the future sustainability of its adaptable regional framework.

A. Development Gaps and Uneven Capacities

One of the biggest challenges that ASEAN faces, is the wide disparities in economic development, and their institutional capacities. The *ASEAN Integration Report in 2025,* highlights the persistent, and increasingly growing disparities, in the GDP per person, infrastructure standards, readiness for technology, and industrial advancement. These inequalities make it harder to align regulations and reduce the extent of economic unity. The comparison between Singapore and Cambodia is striking. Singapore is recognized worldwide as a center for finance and technology, featuring sophisticated infrastructure, strong institutional support, and extensive connections to global trade networks. In contrast, Cambodia depends significantly on basic manufacturing and foreign investment, facing relatively restricted administrative efficiency. These disparities lead to unequal costs of adjustment and differing national goals, hindering regional cooperation. Data from the ADB (Asian Development Bank). These differences highlight ongoing income inequalities and inconsistent growth in digital and physical infrastructure throughout Southeast Asia and ASEAN in general. Such structural disparities hinder ASEAN from establishing consistent global standards or working together on overall economic strategies. If development gaps are not reduced, efforts for greater integration might strengthen imbalances instead of fostering unity.

B. Institutional weaknesses and Political Contraints

Although the Association of Southeast Asian Nations (ASEAN) has demonstrated remarkable durability, its institutional architecture generates significant political constraints. The foundational norm of non-interference has historically safeguarded regime stability and

prevented open confrontation among member states. In a region marked by diverse political systems and varying governance models, this principle has functioned as a stabilizing mechanism. However, it simultaneously weakens political coherence. When internal crises or security tensions arise, ASEAN's capacity to respond collectively remains limited, as sovereignty concerns override regional coordination. The "ASEAN Way," grounded in consensus and informality, thus becomes ambivalent. While consensus ensures inclusivity and prevents domination by stronger states, it frequently produces lowest-common-denominator outcomes. Political divergence among members constrains decisive collective action, particularly on sensitive governance and security issues. Moreover, the ASEAN Secretariat lacks the legal authority and financial capacity to enforce decisions or sanction non-compliance. This institutional minimalism reflects deliberate design, yet it limits effective implementation. The COVID-19 pandemic exposed these weaknesses. Although ASEAN facilitated dialogue and recovery initiatives, member states adopted largely unilateral measures, including border closures and national vaccination strategies. The crisis highlighted the limits of intergovernmental coordination in times of systemic shock. These institutional constraints are further compounded by the rise of minilateral alliances and intensifying U.S.–China rivalry. The Lowy Institute Asia Power Index (2025) shows significant variation in national capacities among ASEAN members, complicating unified strategic positioning. As polarization deepens, ASEAN's consensus-based model struggles to maintain centrality within an increasingly competitive Indo-Pacific order.

C. The New Rise of Geopolitics.

The renewed focus on geopolitics in the Indo-Pacific is putting more pressure on ASEAN, especially in the South China Sea that challenges the Hedging theory. Disputes over maritime boundaries, military buildup, and frequent clashes have increased the competition between China and the United States, making Southeast Asia a crucial battleground. Information from the Center for Strategic and International Studies Asia Maritime Transparency Initiative shows ongoing land reclamation projects, military movements, and rising tensions involving ASEAN countries like the Philippines and Vietnam. These situations are testing the unity and diplomatic effectiveness of ASEAN. Although the organization encourages conversation, internal disagreements hinder its capacity to take strong collective stances. According to Qiao-Franco, Karmazin, and Kolmaš (2025), the importance of ASEAN relies on its ability to balance—engaging economically with China while maintaining security connections with the United States. However, in an increasingly polarized environment, this balancing act is becoming more delicate. As competition among major powers intensifies, the room for strategic ambiguity decreases, making it difficult for ASEAN to uphold its balanced and adaptable strategy.

D. And the new 21st Century Constraint : Climate sustainability

Beyond geopolitical rivalry, or regional integration, 21st century ASEAN, must answer another key geopolitical question : Climate change. Southeast Asia is one of the regions most at risk from climate change globally. It faces issues like increasing sea levels, severe weather, loss of plant and animal life, and challenges to farming and fishing industries.

These environmental challenges have a direct impact on supply chains, the strength of infrastructure, and food availability—key elements of ASEAN's economic unity. Research from the ADBI in 2024 (Correia, Akbarm & Attansukh, 2024). The authors underscore three primary obstacles: firstly, the growing susceptibility to climate change, which endangers economic stability; secondly, the critical necessity for international energy collaboration, especially concerning renewable energy grids and regional power interconnections; and thirdly, the need for the proliferation of green financing mechanisms that can support sustainable infrastructure and low-carbon transitions. In the absence of enhanced environmental cooperation, economic integration may become inherently unstable. Disruptions related to climate can jeopardize trade movements, investment reliability, and regional production supply chains. Additionally, varying national capabilities to adapt to climate change could exacerbate pre-existing developmental disparities. Therefore, environmental integration is essential rather than supplementary. In the absence of unified sustainability strategies, ASEAN's market-oriented integration is susceptible to ecological disturbances and long-term instability.

CONCLUSION : A Possible Fourth Way ? The increased possibility of a *Hybrid Strategic Regionalism*

The coexistence of market-driven integration, geopolitical hedging, institutional limitations, and sustainability imperatives points toward the emergence of a distinct hybrid model of regionalism. In the 21st century, ASEAN appears increasingly oriented toward what can be described as Hybrid Strategic Regionalism. The development of the Association of Southeast Asian Nations indicates a strengthening of a hybrid type of regionalism instead of a movement towards supranational integration. ASEAN's progress illustrates a framework that is intergovernmental, influenced by market forces, based on strategic hedging, and increasingly focused on sustainability. From an institutional viewpoint, ASEAN continues to be distinctly state-centered. According to Andrew Moravcsik, regional integration does not inherently necessitate a supranational governing body; it can develop through intergovernmental negotiations influenced by national interests. ASEAN exemplifies this principle, as it maintains sovereignty and restricts delegation, while promoting cooperation pragmatically where mutual interests exist. Economic factors help reinforce this trend. The progress of integration in Southeast Asia has primarily been driven by an increase in trade, the establishment of production networks, and dependencies within the private sector rather than through institutional consolidation. Additionally, ASEAN's approach to external relations is designed around hedging strategies, allowing it to uphold balanced engagements in the context of growing competition in the Indo-Pacific, thus maintaining its strategic relevance. The increasing susceptibility to climate issues and advancements in digital technology further transform this framework. Collaborations in environmental matters, green finance, and digital connectivity are emerging as essential elements of integration, aligning with the broader multidimensional shifts outlined in Björn Hettne's New Regionalism Theory. Ultimately, ASEAN's endurance will hinge on its ability to diminish developmental disparities, enhance coordination across sectors, sustain its centrality in the Indo-Pacific region, and strengthen green and digital integration within this adaptive hybrid model

BIBLIOGRAPHY : APA

Asian Development Bank. (2025). *Key indicators for Asia and the Pacific 2025*. Asian Development Bank.

ASEAN Secretariat. (2025). *ASEAN integration report 2025*. ASEAN Secretariat.

Ba, A. D. (2009). *[Re]Negotiating East and Southeast Asia: Region, regionalism, and the Association of Southeast Asian Nations*. Stanford University Press.

Carnegie Endowment for International Peace. (2025). *Indo-Pacific reports*. Carnegie Endowment for International Peace.

Center for Strategic and International Studies. (2025). *Asia Maritime Transparency Initiative reports*. CSIS.

Correia, M., Akbarm, A., & Attansukh, S. (2024). *Regional integration, sustainability and inclusive development in ASEAN*. Asian Development Bank Institute.

Hettne, B. (1999). Globalization and the new regionalism: The second great transformation. In B. Hettne, A. Inotai, & O. Sunkel (Eds.), *Globalism and the new regionalism* (pp. 155-199). Palgrave Macmillan.

ISEAS–Yusof Ishak Institute. (2025). *ASEAN and Indo-Pacific strategic assessments*. ISEAS–Yusof Ishak Institute.

Kuik, C.-C. (2008). The essence of hedging: Malaysia and Singapore's response to a rising China. *Contemporary Southeast Asia, 30*(2), 159–185.

Lowy Institute. (2025). *Asia Power Index 2025*. Lowy Institute.

Menon, J. (2025). *The political economy of ASEAN's integration*. ISEAS Publishing.

Moravcsik, A. (1998). *The choice for Europe: Social purpose and state power from Messina to Maastricht*. Cornell University Press.

Narine, S. (2002). *Explaining ASEAN: Regionalism in Southeast Asia*. Lynne Rienner Publishers.

Narine, S. (2018). *The new ASEAN in Asia Pacific and beyond*. Lynne Rienner Publishers.

Park, C.-Y. (2024). *ASEAN economic integration: Addressing challenges and embracing opportunities*. Asian Development Bank.

Qiao-Franco, G., Karmazin, A., & Kolmaš, M. (2025). The next phase of ASEAN centrality in the Indo-Pacific. Journal of Asian Security and International Affairs, 12(1), 1–20.

Regional Comprehensive Economic Partnership. (2022). *Agreement text and implementation framework*.

Schmitter, P. C. (1970). A revised theory of regional integration. *International Organization, 24*(4), 836–868.